

Entrepreneurship and Startup

Unit-1

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Q1. > What is entrepreneurial competency?

>> Entrepreneurial competency is a set of skills and behaviour needed to create, develop, manage and grow a business venture. It also includes the ability to handle the risks that come with running a business. Without a doubt, business owners and startup founders must possess most of the entrepreneur competencies to succeed.

Core competencies in entrepreneurship -

- i) Risk taking abilities
- ii) Out-of-the-box thinking and creativity
- iii) Problem solving abilities.
- iv) Taking initiative.
- v) Persuasion and social skills.

Q2. > What are the functions of entrepreneurship?

>> The functions of entrepreneurship are the key roles an entrepreneur performs to start and run a business successfully.

- (i) Innovation :- Entrepreneurs introduce new ideas, products, or methods. They try to do something different or better than others.
- (ii) Risk taking :- Starting a business always involves uncertainty. Entrepreneurs take financial and personal risks to achieve success.
- (iii) Organizing :- They arrange and combine resources like land, labor, and capital.
- (iv) Decision making :- They make important decision related to production, investment, and growth.
- (v) Management :- They plan, direct, and control all business activities.

6. Opportunity identification - They identify market needs and turn them into business opportunities.

Q3. > Describe the various risk of entrepreneurship.

> Various Risks of Entrepreneurship -

- ① Financial Risk → Possibility of loss of money invested due to low sales or high costs.
- ② Market risk → Changes in customer demand, competition or trends may affect the business.
- ③ Operational Risk → Problems in daily operations like machine failure, labour issues or supply delays.
- ④ Legal Risk → changes in laws, rules or legal issues can create problems for the business.
- ⑤ Personal Risk → Stress, workload and uncertainty may affect the entrepreneur personally.

Q4. > What are the Skills necessary for entrepreneurship?

> ① Leadership Skill → Ability to lead, guide and motivate the team.

② Decision making skill → Taking quick and effective business decisions.

③ Communication skill → clearly expressing ideas and interacting with others.

④ Risk management Skill → Identifying and handling business risks.

⑤ Innovative thinking → Generating new ideas and creative solutions.

⑥ Financial management skill → Managing funds, budgeting, controlling expenses.

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① Problem solving skill → Ability to find solutions to business challenges.

② Time management skill → Properly managing time and meeting deadlines.

Qs → What do you mean by mindset of employee and entrepreneur?

→ • An employee mindset focuses on stability and following instructions —

(i) Prefers job security and fixed income.

(ii) Works under rules and supervision.

(iii) Avoids risk and uncertainty.

(iv) Focuses on assigned tasks only.

(v) Motivation is mainly salary, promotion and benefits.

(vi) Usually works in a fixed time to schedule.

(vii) Depends on the organization for decisions.

Ex → A person working in a company completing task given by their boss.

• An entrepreneur mindset focuses on creating, innovating, and taking risk —

(i) Ready to take risks for growth.

(ii) Focuses on opportunities and innovation.

(iii) Makes independent decision.

(iv) Aims to create jobs, not just do a job.

(v) Works with passion and long term vision.

(vi) Learns from failure and challenges.

(vii) Flexible working hours, often works more than employees.

Ex — A person starting their own business or startup.

Q6) Difference btw
 i) Entrepreneur & Intrapreneurs.
 ii) Entrepreneur & Manager.

Basis	Entrepreneur	Intrapreneur
① Ownership	Owns the business	Doesn't own the business
② Risk	Bears full risk.	Risk is taken by the company.
③ Investment	Uses own or borrowed funds	Uses company's resources.
④ Decision making.	Fully independent	Works under company rules
⑤ Reward	Profit and business growth.	Salary, bonus, recognition.
⑥ Ex	Startup founder	Employee working on new project inside company.
		Manager
① Meaning	Person who starts and owns a business.	Person who manages and runs the business.
② Ownership		Employee of the organization.
③ Risk		Doesn't bear risk (company bears it)
④ Decision making.		Decision based on company policies
⑤ Reward		Salary and incentives.
⑥ Role	creates business	Manages operations.

Short note :->

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Q7> i> Sole proprietorship.

>> A sole proprietorship is the simplest form of business organization owned, managed and controlled by a single person. The owner is called a sole proprietor.

Features ->

- Single ownership -> only one owner.
- Full control -> owner takes all decisions.
- Unlimited liability -> owner is personally responsible for losses.
- Easy to start and close -> minimal legal formalities.
- Direct profit -> all profits belong to the owner.

Advantages -> ① Quick decision making ② Easy to Operate.

Disadvantages -> ① Unlimited liability (high risk)
② Limited capital.

ii> Partnership.

>> A partnership is a form of business organization where two or more persons come together to start and run a business and share its profits and losses according to an agreement. The agreement is called a partnership deed and the persons are called partners.

Advantages -> ① Easy to start.

- ② More capital than sole proprietorship
- ③ shared responsibility.
- ④ Better decision making.

Disadvantages -> ① Chances of conflicts among partners.
② Limited growth.
③ Lack of continuity (may end if a partner leaves)

iii) Joint stock company.

- ① Joint stock company is a business organization in which the capital is divided into small units called shares,
 - ② and these are owned by shareholders.
 - ③ It has a separate legal entity from its owners.
 - ④ The liability of shareholders is limited to their investment.
 - ⑤ It has perpetual succession (continues even if members change).
 - ⑥ Shares can be easily transferred.
 - ⑦ It is managed by a Board of directors.
 - ⑧ It can raise large capital from the public.
- Ex - Tata, Reliance.

iv) Public limited company.

- » • Definition → A public limited company is a company that invites the public to subscribe to its shares and has limited liability.
- Minimum member → At least 7 members are required to start.
- Limited liability → Owners (shareholders) are liable only up to their share value.
- Separate legal entity → The company is legally separate from its owners.
- Perpetual succession → The company continues even if owners change.
- Capital raising → Can collect huge funds from the public, which helps in large-scale business growth.
- Transfer of shares → Shares can be easily transferred or sold.

✓> Private limited company.

» A private limited company is a type of business owned by a small group of people where shares are not offered to the public and ownership is restricted.

• Members → Minimum 2 members and maximum 200 members.

• Limited liability → Owners are liable only up to the amount they invested.

• Separate Legal Entity → The company has its own legal identity.

• Perpetual succession → The company continues even if members change.

• Restriction on share → shares cannot be freely transferred to the public.

Unit → 2

Q1> Write down the characteristics of a promising business idea.

» Promising business idea → An idea that has high potential to succeed, grow and generate profit in the future.
characteristics →

(i) Innovative :- Introducing something new or improved

(ii) Problem solving :- Solves a real customer need or problem.

(iii) Unique :- Different from existing ideas in the market.

(iv) Profitable :- Generates more income than cost.

(v) Understandable :- Easy to understand and explain.

Q2) Write down the ways to make a product unique.

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1. Customer interaction → regular communication with customer to understand their needs, take feedback, and build strong relationship.
2. Personal Touch → Adding a human and customized elegant element (like personalized messages or services) to make customers feel special.
3. Comprehensive Branding → Creating a consistent brand image through logo, design, messaging and values across all platforms.
4. Great storytelling → Using engaging stories about the product or brand to connect emotionally with customers and make it memorable.

Q3) What do you mean by feasibility study? Technical feasibility study? Environmental feasibility study?

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- Feasibility Study → Feasibility study is an analysis done before starting a project or business to check whether it is practical, possible and worth investing in.
 - Technical feasibility study →
 - ① It examines whether the required technology and resources are available.
 - ② It checks the technical skills and production capability.
 - ③ It ensures the project can be implemented technically.

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- Environmental study →

- ① It analyzes the impact of the project on the environment.
- ② It checks issues like pollution and resource usage.
- ③ It ensure compliance with environmental laws.

Q4) What are the structure and concept of a standard feasibility study report.

» Structure of a Feasibility Report →

- ① Title Page → Contains project title, name of organization, and date.
- ② Table of contents → Lists all sections with page numbers for easy reference.
- ③ Executive Summary → Brief overview of the project, key findings, and final decision.
- ④ Market Feasibility → checks if people will buy the product and who the competitors are.
- ⑤ Technical Feasibility → checks if we have the machines, technology and skills to do the project.
- ⑥ Financial Feasibility → checks how much money is needed, profit and cost.
- ⑦ Organisational Feasibility → checks if we have the right people and management to run the project.
- ⑧ Conclusion → should we start the project or not.
- ⑨ Appendix and Reference pages → Extra data, charts, and information sources.

Q5) What is business plan. Difference btw business plan and feasibility study.

» Business plan :- A business plan is a written document that describes a business idea, its goals, and how it will be started and managed.

It includes details about products, customers and money planning.

Basis	Business plan	Feasibility Study
① Meaning	Explains how a business will start and run.	checks if a business idea will work or not.
② Purpose	Guides the business	Helps in decision making
③ Stage	Made after idea is accepted.	Made before starting the business.
④ Focus.	Planning and growth	checking risks and success.
⑤ Content	Marketing, operations, finance.	cost, demand, and practicality.

Q6) What is project report and write down its features and components.

» Project report → A project report is a formal written document that provides detailed information about a proposed business project, including its objectives, feasibility, operations and financial aspects.

• Features →

- ① It is systematic and well-structured.
- ② It is clear, precise and factual.
- ③ It is based on reliable and realistic data.
- ④ It helps in decision-making and planning.
- ⑤ It is used to obtain finance from banks or investors.

• Components →

1. Executive Summary — Brief overview of the project.
2. Introduction — Background and idea of the project.
3. Objectives — purpose and goals.
4. Market analysis — Demand, target market, competition.
5. Technical analysis — Location, technology.
6. Organizational plan — Management and staffing.
7. Financial plan — cost, revenue, profit, funding.
8. Conclusion — overall viability of the project.

Unit-3

Q1) Write down the process in business registration?

→ Process of Business Registration in India →

1. Company Name Availability Verification → checking whether the proposed business name is available or not.
2. Digital Signature certificate (Dsc) → Obtaining a digital signature for online registration.
3. Business incorporation certificate → Registering the business legally and receiving the incorporation certificate.

4. PAN and TAN Registration → Applying for permanent Account number and Tax Deduction Account number.

5. GSTIN Registration → Registering under Goods & Services Tax for taxation purposes.

6. Shops and Establishment / Trade License → obtaining permission to conduct business activities.

7. ESI and EPF Registration → Registering employees for insurance and provident fund benefits.

8. Contract Labour and professional Tax Registration → completing labour law and professional tax formalities.

9. Preparation of important Documents → submitting documents like ID proof, address proof and business details.

10. Commencement of Business → After completing all registrations, the business start operations.

Unit-4

Q1) What do you mean by mobilization of resources by startups.

⇒ Mobilisation of resources means to assemble, organize and procure the required resources for the successful establishment of an enterprise.

Resources Mobilisation process is an essential part of a "New Business development". All kind of enterprise need resources - Startups resources can be catagorized as:

1. Financial Resources - These are the funds needed to start and grow the startup. They include personal savings, loans, angel investors, venture capital and crowdfunding.
2. Human Resources - The people involved in the startup - founders, employees, advisors, mentors and partners. Skill, experience and team dynamics fall into this category.
3. Physical Resources - Tangible assets like office space, equipment, machinery, inventory and infrastructure required for operations.
4. Intellectual Resources - Intangible assets such as patents, trademarks, copyrights, proprietary technology, brand reputation and business process.

Q2. > What are the challenges faced for startup?

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1. Fierce competition :> This means there are many competitors in the market offering similar products or services. Because of this, it becomes difficult to attract customers, maintain prices and stand out. Business have to constantly improve quality, marketing and innovation to survive.
 2. Unrealistic expectations :> Sometimes owners, clients, or stakeholders expect very high results in a short time or with limited resources. These expectations may not match reality, which can create pressure, stress, and disappointment when goals are not achieved.

③ Hiring Suitable candidates :-

Finding the right employees is challenging. A suitable candidate should have the required skills, experience, and the right attitude. If the wrong people are hired, it can affect productivity, teamwork, and overall business performance.

④ Partnership :- Partnership means working together with other individuals or organizations. While partnerships can bring growth and shared resources, they can also lead to conflicts due to differences in idea, responsibility or profit-sharing.

⑤ Decision making :- Good decision making is important for success, but it can be different difficult because it involves risk, uncertainty, and the need to balance multiple factors.

⑥ Cyber security :- Cyber security means protecting a company's data, systems, and networks from hackers, viruses and online attacks. It helps keep sensitive information safe and prevents data breaches.

⑦ Winning trust of customers :- Winning a customer's trust is one of the most important challenges that business face in general. Customers are the real force behind a startup's success. To gain customers confidence by providing good quality products, honest communication and reliable service is the key.

Q1) What do you mean by equity funding, debt funding by angel investors.

» Equity Funding → Equity Funding is a method of raising capital in which a company issues shares of ownership to investors in exchange for funds. The investors become shareholders and are entitled to a portion of the company's profits and assets.

Key points → ① No need to repay the money.
② You give up some control/ownership.

Debt Funding → Debt Funding is a method of raising capital where a company borrows money from investors or lenders with a commitment to repay the actual amount along with interest within a specific period.

Key points → ① Interest payment is mandatory regardless of profit.
② You keep full ownership
③ Can create financial pressure if revenue is low.

Q2) Define venture capital fund. Write down its types.

» A venture capital fund is a pooled investment fund that provides capital to early-stage, high-potential startups and small businesses in exchange for equity (ownership shares) in those companies.

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Key points → ① Funds are collected from investors.
② Usually takes equity ownership in the company.

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Q3) How does the professional venture capital industry work?

>> Professional venture capital industry →

(i) The professional venture capital industry refers to organized firms that provide finance to new and growing businesses with high growth potential. Venture capitalists invest money in startups in exchange for equity share in the company.

(ii) These firms collect funds from wealthy individuals, banks, insurance companies, and financial institutions. Before investing, they carefully study the business idea, market demand, management capability, and future profitability of the company.

(iii) Apart from finance, venture capitalists also provide technical guidance, managerial support, and business contacts to help the business grow successfully. They earn profit by selling their shares when the company becomes successful through IPO or acquisition.

Thus venture capital is a high-risk but high return form of investment that supports innovation and entrepreneurship.

Q4) What are the advantages of securing a bank loan for a startup business?

>> Easy availability of Funds — Bank loans provide financial support to start and expand the business.

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② Ownership Remains with owner → The entrepreneur does not have to share ownership or profit with others.

③ Flexible Repayment → Loans can be repaid in installments over a fixed period.

④ Lower interest rate → Bank loans usually have lower interest rates compared to other private borrowings.

⑤ Improves Business Growth → The loan amount can be used for purchasing equipment, raw materials, and business expansion.

Q5) Describe top twelve govt schemes for startups in India.

>> Top 12 Government schemes for startups in India →

1. Startup India Scheme :- This scheme helps new businesses by giving tax benefits, easy registration and support for patents and funding.

2. Startup India seed Fund scheme (SISFs) :- It gives money to startups for making products, testing ideas, and starting business operations.

3. Fund of Funds for startups (FFS) :- The govt. provides investment support to startups through Venture Capital companies.

4. Pradhan Mantri Mudra Yojana (PMMY) :-

This scheme gives small business loans without security or collateral to new entrepreneurs.

5. Stand-up India scheme :-

It provides bank loans to women and SC/ST entrepreneurs to start new businesses.

6. Atal Innovation Mission (AIM) :-

This Scheme promotes innovation and helps startups.

7. Credit Guarantee scheme for startups (CGSS) :-

It helps startups get loans easily because the govt. gives guarantee support to banks.

8. CGTMSE scheme :- Provides collateral-free loans to small businesses.

9. SAMRIDH Scheme :- supports tech and software startups.

10. PMEGP :- Helps people start small businesses with subsidies.

11. NIDHI- PRAYAS :- Funding for new inventions and prototypes.

12. TIDE 2.0 :- Support AI, robotics and technology startups.

Q6. Write down the benefits of MSME or SSII registration?

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1. Easy Bank Loans → MSMEs can get loans easily at low interest rates.
 2. Collateral-free Loans → Business owners can get loans without giving security or property.
 3. Govt. Subsidies → Registered MSMEs get financial support and subsidies from the govt.
 4. Protection from Delayed payments → Buyers must make payments on time to MSMEs.
 5. Tax Benefits → Some tax concessions and exemptions are available for MSMEs.
 6. Easy Business Registration → Licenses and approvals are easier for registered MSMEs.
 7. Lower Electricity Bills → MSMEs may get concession on electricity charges.
 8. Business Growth Support → MSMEs can access many government schemes for expansion & development.